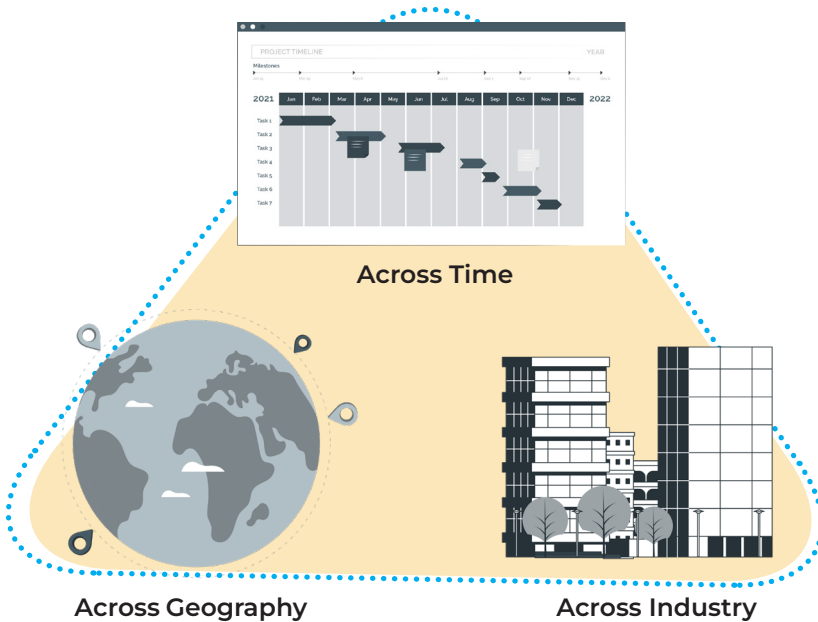


2.1 Valuation Ratios for Overall Markets



A ratio refers to the relationship between 2 values, say X and Y that assists us while making decisions. we can compare different kinds of ratios and draw conclusions from the same.

For example: If a mango costs Rs100 and an apple costs around Rs 50. The ratio of apple to mango is $100/50 = 2:1$. As a result, we can conclude that each mango is equivalent to two apples in terms of their value.

Ratios can be used not only to evaluate financial performance as we saw in previous chapters but also to evaluate valuation levels.

Across Industry

Comparison of ratios of company X, Y, and Z across the industry.

Across Time

Comparing a company's performance across different financial years.

Across Geography

Comparison of valuation ratios of company X, Y, and Z within the same industry.